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Insight

India data centre 2026 mid-year report

AI appetite unleashed: India's infrastructure pipeline surges to multi-GW scale

Artificial intelligence | Strategic consulting | Data centre property | Data centres

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AI Appetite Unleashed: India's Infrastructure Pipeline Surges to Multi-GW Scale

India's data centre capacity is set to triple from 1.6 GW in mid-2026 to 6 GW by 2029, positioning the nation as Asia's fast-est-growing digital infrastructure market. This explosive growth is fueled by tax holidays, state incentives, and over $50 billion in commitments from global hyperscalers, who will self-build nearly 30% of new capacity.

The expansion requires USD 110 billion in investments by 2029, creating unprecedented opportunities across construction, power infrastructure, cooling technology, and IT equipment sectors. With sustainability at the forefront, India is targeting 500 GW of renewable energy capacity before 2030 to power this digital transformation.

Market Snapshot: Mid-Year 2026

Midyear 2026	
Inventory (Colo and self-build)	**1,637 MW**
Vacancy	2.8%
Absorption	100 MW
Completions	84.9 MW
Under construction (colo and self-build)	4,317 MW
Planned pipeline (colo and self-build)	15,000 MW
Average rents	**(INR/kVa/mo)**
<250 kW	INR 8,000
250 kW-1 MW	INR 7,500
1-5 MW	INR 6,500
5-20 MW	INR 6,000



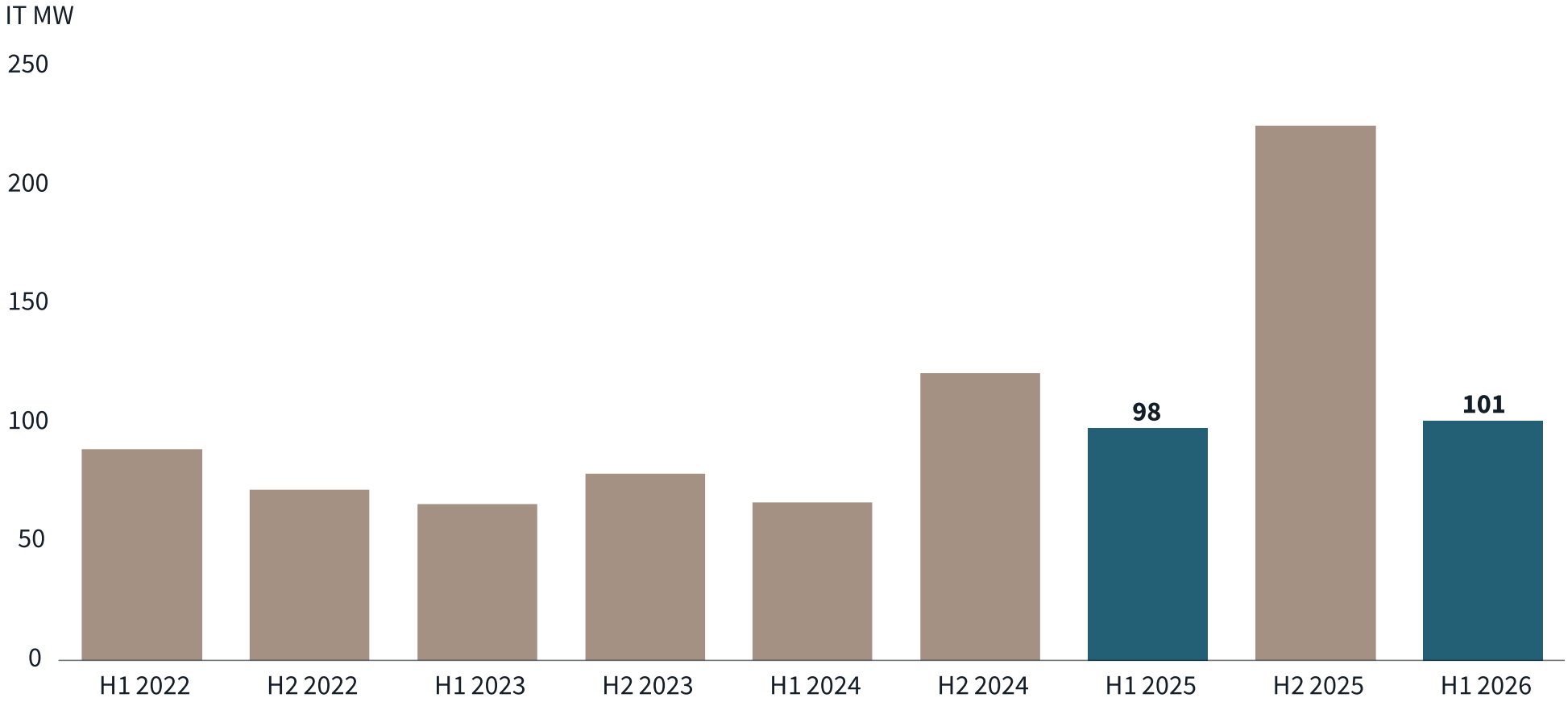
Note: Rates quoted are for Navi Mumbai DC region which accounts for 45 % of the India's DC capacity.

AI-Led Demand Surge

H1 2026 Absorption Exceeds Three-Year Average by 20%

First-half 2026 absorption reached 101 MW, surpassing the three-year average by over 20%. Pre-committed hyperscale capacity accounted for 82% of total absorption, primarily driven by high-density AI computing workloads. Mumbai and Chennai maintained leadership positions for hyperscale deliveries, with significant pipeline capacity secured through power approvals.

India colocation absorption (MW)

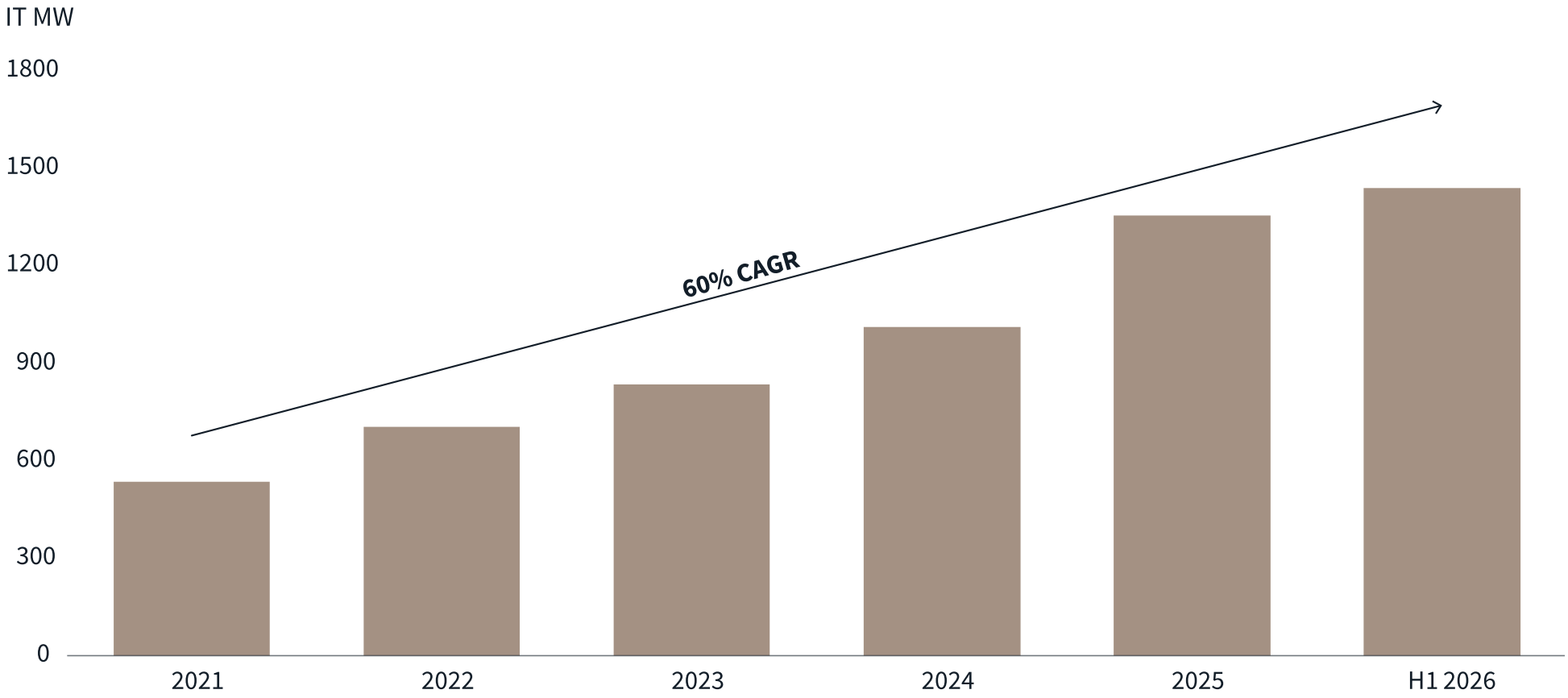


Source: JLL Research

Supply Acceleration - 60% CAGR Delivered Since 2021

India's data centre operators achieved 60% CAGR since 2021 through innovative construction methods including pre-fabricated steel structures. Project sizes have expanded from 20 MW to 50+ MW blocks to accommodate high-density workloads. H1 2026 delivered 85 MW, with Mumbai (48%) and Chennai (50%) dominating supply additions.

India colocation supply trend



Source: JLL Research

Hyperscale Investment Hubs

Global hyperscalers are committing over $50 billion to build 1.4 GW of self-build capacity by 2029.

Established Hubs: Mumbai (core market), Chennai (8 subsea cables), Pune (AI compute hub)

Emerging Hubs: Hyderabad (gigawatt-scale investments), Visakhapatnam (coastal advantage), Delhi NCR (sovereign cloud)

The Union Budget 2026-27's 20-year tax holiday until 2047 for foreign cloud providers dramatically reduces operational costs, making India globally competitive for AI infrastructure.



Regulatory Framework: DPDP Act

The Digital Personal Data Protection Act establishes accountability with mandatory breach reporting and fines up to ₹250 crore for violations.

Effective date	Key provisions
November 13, 2025 (Immediate)	• Board constitution & definitions • Administrative framework
November 13, 2026 (1 year)	• Consent Manager registration and obligations
May 13, 2027 (18 months)	• Full compliance: notices • Security, breach reporting • Child data protection • Significant Data Fiduciary obligations • Data Principal rights • Cross-border transfers, appeals

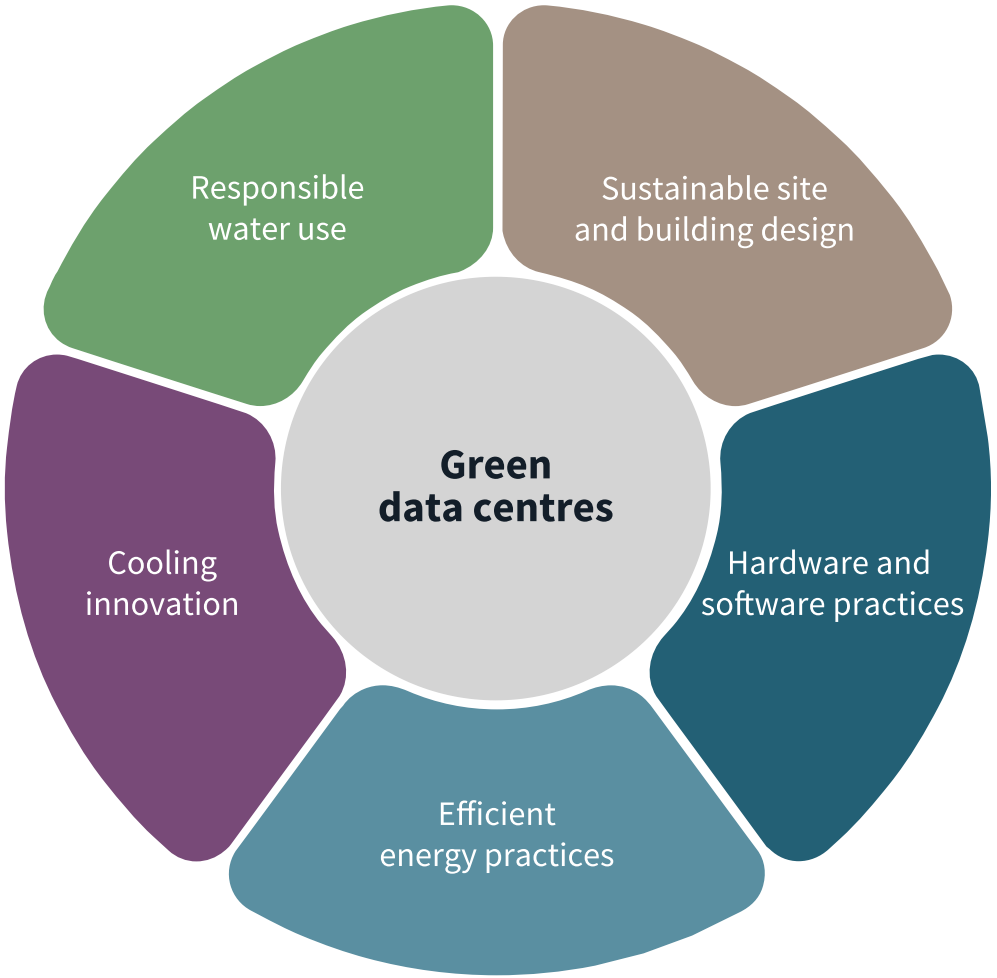
Source: DPDP rules gazette notification, JLL Research

Sustainability & Green Data Centres

Green data centres minimize environmental impact through:

- Energy-efficient equipment with real-time monitoring
- Renewable energy (solar, wind, nuclear)
- Advanced cooling: liquid cooling, direct-to-chip, immersion cooling
- Sustainable materials and responsible e-waste management

India is expanding nuclear capacity from 8.78 GW to 22.38 GW by 2031-32, with a goal of 100 GW by 2047. Small Modular Reactors (SMRs) will provide off-grid alternatives for large data centre campuses



India is emerging as Asia's fastest-growing data centre market, driven by hyperscale investments, AI workloads, and transformative tax incentives. Record-low vacancy rates and massive pre-commitments are creating enterprise supply constraints while attracting unprecedented foreign capital for self-build facilities. Sustainability initiatives, robust policy frameworks, and renewable energy expansion are cementing India's role as a strategic global leader in AI-ready infrastructure.

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